

rose to more than \$16—and eventually each share came to be worth many times that amount.

It was not easy to gain control of the Tide Water Associated Oil Company. Many risks were taken, much opposition encountered, many no-holds-barred proxy and legal battles were fought. Countless critical situations developed. The outcome was often in doubt.

My first attempt to obtain a voice in Tide Water's management was made in May 1932. I went to the annual stockholders' meeting armed with my own 41,000 shares, plus a proxy for 126,000 additional shares. At the last moment, the proxy was revoked. My efforts ended in failure. I bought more stock and tried to sell my ideas to Tide Water's directors. They, however, did not see things

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my way and dug in for a long, hard fight. Why? Well, I suppose there were several reasons. First of all, I was an outsider. I'd had little or no experience in the heady atmosphere of board rooms.

"Paul Getty should stay where he belongs—on a drilling rig" a Tide Water director supposedly snorted when told I was buying the company's stock right and left. I fear there were others on the board even less kindly disposed toward me and my ambitions.

I'd studied Tide Water's organization and operations carefully and recommended that the company make certain changes and practice certain economies. These recommendations, apparently too radical to suit the conservative directors, caused considerable resentment.

I'd also concluded that much of Tide Water's refining plant was obsolescent and would soon be obsolete. I believed the company should make provisions for modernization and replacement, but management was reluctant to make capital expenditures during the business slump. The directors called it "necessary caution." I viewed it as short-sighted and dangerous penny-pinching.